

CHAPTER 6 - The Global Market Portfolio

“We have a passion for keeping things simple.” – Charlie Munger, Vice-Chairman Berkshire Hathaway

Why not just invest along the weightings of the global market cap weighted portfolio? The main difficulty is that it is hard to determine exactly what the exact weightings are, but a number of researchers have come pretty close with a ballpark estimate.

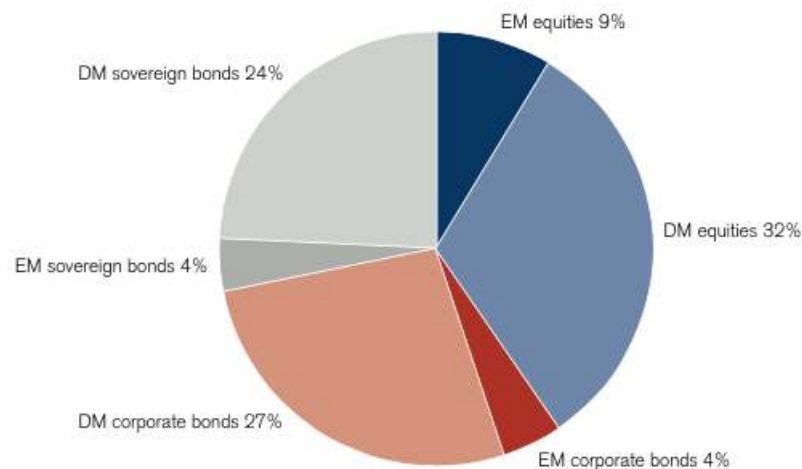
A paper titled [“Strategic Asset Allocation: The Global Multi-Asset Market Portfolio 1959-2011”](#) breaks out the broad world market portfolio.

[Credit Suisse also looks at the global portfolio](#), and Figure 30 breaks out their allocations.

FIGURE 30 – The Global Market Portfolio, (“GMP”)

**2014 composition of global capital markets
(USD 153 trn)**

Source: Thomson Reuters, World Federation of Exchanges, BIS, Credit Suisse research



Source: Credit Suisse, Global Wealth Databook 2014

We simplify this to the below allocation (Figure 31), labeled “GMP” for Global Market Portfolio, to see how this portfolio performed. Note: This does not reflect the exact global market portfolio over time